

result in any relaxation of standards of safety in the selection of issues of the latter type.²

RECORD OF INTEREST AND DIVIDEND PAYMENTS

Bonds purchased on an investment basis should have behind them a sufficiently long record of successful operation and of financial stability on the part of the issuer. New enterprises and those recently emerged from financial difficulties are not entitled to the high credit rating essential to justify a fixed-value investment.³ A similar disqualification would logically apply to states or municipalities which have failed to meet their obligations punctually at any time over a preceding period of years.

Provisions of New York Statute. The New York statute recognizes this criterion and gives it concrete expression as follows: Bonds of states other than New York are eligible if the state has not defaulted on interest or principal payments during the previous *ten years*. For municipalities outside New York State, the period is *twenty-five years*; for railroads, *six years*; for gas, electric, and telephone companies, *eight years*.

With respect to bonds of corporations, however, the requirements as to earnings coverage to be discussed under the next heading—should adequately take care of the question of past record. The time covered by the earnings requirement is only a little shorter than the periods above suggested, and hence it would seem an unnecessary complication to exact a past-solvency test in addition to an earnings test.

Civil obligations, on the other hand, are not sold on the basis of an earnings record. Consequently the investor is compelled to attach primary importance to a satisfactory history of punctual payment. The

² In an exceptional case a short-term issue may be bought at an investment price, even though the earnings exhibit is inadequate, provided the working capital position is so strong as to assure payment without difficulty. Such an investment would correspond to a loan made by a commercial bank.

Example: This would apply to Central Steel Company First 8s, assumed by Republic Steel Corporation, due Nov. 1, 1941, and selling in November 1939 at 109 to yield 3.31%. Note also that preference may properly be given to short maturities at times as a matter of *investment policy*, but not to the extent of relaxing the standards of safety.

³ This statement might not apply in those cases in which the financial difficulties were due to an excessive debt burden which the reorganization reduces to a figure that would have been amply taken care of by the previous earnings.